Capital structure arbitrage: the 20 most recent papers, and similar methods in your Documents folder

Prepared for personal research

30 October 2026

The answer

Read *The Debt-Equity Spread* first. Chen, Chen and Li (Journal of Finance, 2026) compute actual minus equity-implied credit spread and study corporate bonds and stocks together. That is the closest published relative of your bond version. The Finkelstein plan agent later read it in full: the model is CreditGrades with a payout drift, 3-year realised vol and no options, with monthly ranks. Details are in the plan.

Explicit capital structure arbitrage papers are rare. OpenAlex returned only four papers since 2022 with that phrase in the title or abstract. The recent work has moved to three neighbours: equity options as credit hedges, cross-market return predictability, and richer structural models.

One paper cuts against the trade. Doshi, Ericsson, Fournier and Seo (2024) find no evidence of mispricing between equity and credit index options under their structural model. A gap you measure may therefore be a model limitation, not an arbitrage. Their result is at index level.

Your own folder is already strong. `Documents/Quant Credit/CapArb/` holds the closest method papers, and Section 3 ranks them.

1. How this was searched, and its limits

- Sources: OpenAlex and Semantic Scholar APIs, queried on 30 October 2026.
- Method: 14 keyword queries, then forward citations of core papers such as Yu (2006), Kapadia and Pu (2012), Carr and Wu (2011) and Friewald, Wagner and Zechner (2014). A further citation pass used papers found along the way, on OpenAlex only.
- Inclusion rule: the paper links equity, equity volatility or equity options to CDS or corporate bond pricing, through a structural model, a mispricing measure, a hedge or a cross-market trade. Papers using credit spreads only as an outcome for accounting or governance questions were excluded.
- Ranking: newest first, after applying the rule. Screening was by me, on title and abstract.
- Semantic Scholar was rate-limited. Two of its 14 keyword queries and some seed lookups failed, so its coverage is partial. Five of 18 first-pass seed titles also failed to match on OpenAlex.
- This is a targeted search, not a systematic review. A relevant paper may be missing. The harvest first missed Cao et al. (2023), which I noticed only because it was in your folder.
- **Annotations come from abstracts, not full text**, apart from the update on the Debt-Equity Spread above. Four papers had no abstract in OpenAlex, Semantic Scholar or Crossref, and they are marked. For those, I can say only what the title indicates.

2. The 20 most recent papers

"Why it matters" is my reading of how each abstract relates to your replication. Dates are online or working-paper dates. "2026" alone means the sources give only the year.

#	Date	Paper	What it says, and why it matters
1	2026-08	Chen, Roussanov, Wang, Zou. *Common Risk Factors in the Returns on Stocks, Bonds (and Options), Redux.* NBER w35579. 10.3386/w35579	Finds a common factor structure across stocks, corporate bonds and options. It also measures segmentation between these markets. **Matters because** it covers your exact three instruments, and a factor-neutral residual would be a stricter test of a gap.
2	2026-08	Lin, Wang, Wu. *Explaining the Momentum Spillover From Stocks to Bonds.* Emerald chapter. 10.1108/s2514-465020260000014006	Stock momentum spills into bonds, more strongly in speculative grade. Attributed to information diffusion, and costs do not explain it. **Matters because** a bond-versus-stock signal may partly be this effect. Control for it.
3	2026	Bemis. *Implied Credit Spreads Under Heston Dynamics.* SSRN preprint. 10.2139/ssrn.6798158	Capital structure arbitrage with Heston dynamics calibrated to the SVI surface, so the implied spread reflects skew and kurtosis. Identifies a convexity hurdle that limits profit. **Matters because** it uses the option surface and names a cost test. It is a single-author preprint and not peer reviewed, as far as the record shows.
4	2026	Bahaji. *Towards a Paradigm of Structural Factor Investing.* SSRN preprint. 10.2139/ssrn.7066038	Generalised CreditGrades-inspired model, with analytical sensitivities of stock returns and CDS spreads to common factors. US non-financials, 2010–2025. **Matters because** it is the most recent CreditGrades extension found, with a current sample.
5	2026-06	Chen, Chen, Li. *The Debt-Equity Spread.* Journal of Finance. 10.1111/jofi.70060	Measure: actual minus equity-implied credit spread. It predicts stock and bond returns in opposite directions, and is unique among mispricing measures. High-DES firms tend to issue equity, retire debt, and see more insider selling. **Matters because** this is the bond version of the signal, published in a top journal.
6	2026	Hao, He, Wang, Wang. *Factor Investing and the Integration of Corporate Bond and Equity Markets.* SSRN preprint. 10.2139/ssrn.6588823	Cross-market characteristics beat within-market ones (US, 2004–2022). The effect concentrates in illiquid, hard-to-arbitrage segments. **Matters because** the gain may sit where trading it is hardest.
7	2025-09	Cai, Wang, Zhang, Lin. *Pricing path-dependent equity and credit derivatives within a general hybrid equity-credit framework.* JEDC. 10.1016/j.jedc.2025.105178	*No abstract found.* Title indicates a numerical pricing method for a joint equity-credit model. **Possibly useful** for barrier-style pricing. Unverified.
8	2025-05	Rubesam, Zimmermann. *Sideshow or center stage? Information transmission between CDS and equity markets.* JFI. 10.1016/j.jfi.2025.101151	*No abstract found.* Title indicates a study of information flow between CDS and equity. It matched the phrase "capital structure arbitrage" in OpenAlex. **Read it** for who leads whom.
9	2025-04	Esquil, Lai. *Is the CreditGrades Model Useful for Hedging CDSs?* Emerald chapter. 10.1108/s2514-465020250000013005	*No abstract found.* Title indicates a direct test of CreditGrades hedges. **Read it**: it is the most direct recent test of your hedge ratio.
10	2025-03	Zhang, Shi, Han, Liu, Xu. *The Term Structure of CDS Spreads and the Cross Section of Options Returns.* J. Futures Markets. 10.1002/fut.22582	Log CDS slope predicts delta-hedged straddle returns, especially when volatility is high. **Matters because** information runs from credit to options, not only the reverse.
11	2025-03	Hong, Park. *Do changes in the implied volatility of stock options predict future changes in CDS spreads?* JDQS. 10.1108/jdqs-12-2024-0048	In Korea, rising implied volatility predicts rising CDS spreads. **Matters because** it extends Cao et al. (2023). You hold a copy.
12	2025	Fusari, Lamichhane. *Structural Equity Option Pricing: Implications for Credit Risk.* SSRN preprint. 10.2139/ssrn.5393252	*No abstract found.* Title indicates option pricing from a structural model, with credit implications. **Read it** for the options leg.
13	2024-12	Duong, Park. *Understanding the Cross-Section of CDS Returns Using Equity Options.* J. Financial Research. 10.1111/jfir.12446	CDS sellers earn more where at-the-money implied vol is high, and where skew is steep given high vol. CDS returns are better explained than bond returns. **Matters because** it warns that an option signal may work less well on bonds. Date conflict: Semantic Scholar 2024-12, OpenAlex 2022.
14	2024-10	Siggelkow. *Partial hedging in credit markets with structured derivatives.* JDQS. 10.1108/jdqs-06-2024-0019	Default triggered by the stock breaching a barrier, hedged partially with European puts. **Matters because** it has the same barrier idea as your options leg.

#	Date	Paper	What it says, and why it matters
15	2024-08	Doshi, Ericsson, Fournier, Seo. *The risk and return of equity and credit index options.* JFE. 10.1016/j.jfineco.2024.103932	Structural model fitted by MLE explains both index option markets out of sample, and finds no evidence of mispricing. **Matters because** it is the strongest counter-evidence. It concerns indices, not single names.
16	2024-07	Maglione. *Introducing and testing the Carr model of default.* Quantitative Finance. 10.1080/14697688.2024.2368081	Structural model as simple as Merton, built to avoid vanishing short-term spreads. **Matters because** it addresses the same weakness that the CreditGrades random barrier addresses. A possible alternative.
17	2024-03	Avino, Salvador. *Contingent Claims and Hedging of Credit Risk with Equity Options.* RAPS. 10.1093/rapstu/raae005	New put-option hedge ratios for credit exposures. They reduce volatility beyond stock hedges, and capture exposure that Merton equity hedges miss. Stock and puts can be combined using the smirk. **Matters because** it is direct input for hedging a bond with both options and cash equity.
18	2024-02	Bartram, Grinblatt, Nozawa. *Book-to-Market, Mispricing, and the Cross Section of Corporate Bond Returns.* JFQA. 10.1017/s0022109024000048	Bond book-to-market predicts returns of 3–4% a year on senior bonds, after controls that include structural-model equity hedges. It also has a method that avoids biased liquidity filters. **Matters because** that return method applies to any bond backtest.
19	2023-10	Maglione, Mancino. *Assessing the Impact of Credit Risk on Equity Options.* Risks. 10.3390/risks11100183	A measure of how much default risk an option carries, comparable across names. Puts are more sensitive, and CDS and option markets look well integrated. **Matters because** it relates to Finkelstein's split of a put into its default part.
20	2023-10	Bégin, Boudreault, Thériault. *Leveraging prices from credit and equity option markets.* J. Futures Markets. 10.1002/fut.22465	Extracts default intensity and recovery jointly from out-of-the-money puts and CDS, about 400 US firms, 2003–2019. **Matters because** it can replace a fixed recovery assumption, though it needs CDS. You hold a copy.

Just below the cut, and still worth having

These are older than the top 20, but several are closer in method.

- Chan, Kolokolova, Lin, Poon (2023), price convergence between CDS and puts, with a trading strategy. J. Empirical Finance. 10.1016/j.jempfin.2023.03.008. Copy in your LLMWikiGeneration raw folder.
- Cao, Goyal, Xiao, Zhan (Management Science, 2023 issue), implied volatility changes and corporate bond returns. 10.1287/mnsc.2022.4379. Copy in your CapArb folder. This is the key paper linking option volatility to bonds.
- Forte, Lovreta (2022), CDS-implied, historical and option-implied volatility compared. JCF. 10.1016/j.jcorpfin.2022.102347
- Chen, Hsieh (2022), an exact structural model for CDS. J. Fixed Income. 10.3905/jfi.2022.1.149
- Mercadier (2022), improves the E2C formula with CART and random forests, 82% out-of-sample accuracy. 10.1142/9789811260483_0003. The only recent paper found that names E2C directly.
- Maglione (2022), cointegration between credit spreads, leverage and equity volatility. Computation. 10.3390/computation10090155. This supports the cointegration test in your own CSA Statistical Framework note.
- Shi, Chen, Guo, Xu, Yan (2022), CDS-implied volatility and trading strategies. IRFA. 10.1016/j.irfa.2022.102295. Copy in your raw folder.
- van Zundert, Driessen (2022), bond-implied expected stock returns. JBF. 10.1016/j.jbankfin.2022.106447

3. Similar methods in your Documents folder

Search: a full-text scan of 2,352 PDFs, first 40 pages each. Three more PDFs over 80 MB were skipped, and three had no extractable text. **Limit:** the scanned `SDS` documents have very poor OCR, so a text scan can miss them. The SDS items below were found by filename, and I have not read them. For all other rows I read only the opening pages. Many files also appear again in the `JFEC-combined-existing-2026-08-30` folder.

#	File	Why it is similar
Closest: same method, in `Quant Credit/CapArb/`		
1	`cap arb.pdf` (Alber, MSc dissertation, Católica, 2017)	CreditGrades capital structure arbitrage with a new way to identify mispricing triggers. Reports 2.3% annualised alpha, 2008–2015, Europe. A worked replication of the model on CDS.
2	`phthesis.pdf` (Papadimitraki, Piraeus, 2018)	Argues the arbitrage should trade CDS against equity implied vol, not the stock, using deep out-of-the-money options. Directly relevant to your vol signal.
3	`cap arb perspective.pdf` (Avino, Lazar, J. Alternative Investments, 2020)	Rethinks the strategy through price discovery.
4	`s11156-013-0400-x.pdf` (Ju, Chen, Yeh, Yang, RQFA, 2015)	Capital structure arbitrage with a multi-period Geske-Johnson structural model. An alternative model family to CreditGrades.
5	`limited arb.pdf` (Kapadia, Pu, JFE, 2012)	Limited arbitrage between equity and credit. Cited widely on this topic.
Practitioner frameworks, in the SDS scanning folder		
6	`A Framework For Credit-Equity Investing.PDF` (JPMorgan, 2007, 52 pages)	CEV model that implies a CDS spread from tradable equity instruments, giving a relative value signal and trade structures. Also in the top level of `Documents`.
7	`Automated Capital Structure Arbitrage Trading Strategy For Prop Trading Group.PDF` (15 pages)	Unread, because OCR is unusable. The title suggests a direct match. Worth opening by eye.
8	`Credit Grades Model Description.PDF` (1 page)	Unread, for the same reason.
9	`Empirical Models Of Single and Multi-Name Dect-Equity Relationship.PDF` (19 pages)	Unread, for the same reason. The title suggests a statistical debt-equity model, like your regression.
10	`Credit Derivatives Strategy - High Yeild Credit vs Equity Paradigm Shift.PDF` (Morgan Stanley, 2005)	Practitioner account of the European capital structure arbitrage cycle, written in the same period as your workbooks.
Options to bonds and credit		
11	`EBSCO-FullText-08_05_2026.pdf` (Cao, Goyal, Xiao, Zhan, Management Science, 2023)	Implied vol changes and corporate bond returns. Closest for bond spreads and equity vol.
12	`jdqs-12-2024-0048.pdf` (Hong, Park, 2025)	Implied vol changes and CDS (Korea). Listed above as number 11.
13	`Int Rev Finance - 2018 - Da Fonseca ....pdf`	Co-movement of CDS spreads, equity returns and volatility.
14	`jrf-04-2014-0044.pdf` (Amadori, Bekkour, Lehnert, 2014)	Informational efficiency across stocks, options and CDS. Your three-market view, with CDS in place of bonds.
15	`Kalman Filter Statistical Arbitrage/Market co-movement between credit default swap curves and option.pdf` (Shi et al., 2022)	Index CDS curve against the S&P 500 vol surface, using an unscented Kalman filter.
Bond leg: basis and liquidity		
16	`CDS-bond basis and bond return predictability.pdf` (Kim, Li, Zhang, JEF, 2016)	The basis predicts bond returns. Relevant to separating basis from mispricing.
17	`1-s2.0-S1059056016303240-main.pdf` (Kim, IREF, 2017)	Liquidity difference between CDS and corporate bonds.
18	`ME_2019082716502954.pdf` (Patanè, Tedesco, Zedda, 2019)	CDS-bond basis and price discovery in Europe.

4. What this changes for the replication

1. **Add the Debt-Equity Spread as a benchmark.** Once your bond signal exists, compare it with the published measure.
2. **Test for a model artefact.** Doshi et al. imply that a gap may shrink under a better model. Run the signal under at least two models.
3. **Add a cost hurdle before any backtest.** Bemis's convexity hurdle, and the bond cost estimate from the Yu work, both point the same way.
4. **Use option hedge ratios as a second hedge.** Avino and Salvador directly support hedging with stock and puts together.

5. **Control for known effects.** Stock-to-bond momentum and implied vol changes both predict bond returns. A new signal should show value beyond them.